

## **Activity-Based Costing at Toyota**

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Companies strive to make accurate cost management decisions to maintain profitability and operational efficiency. Toyota Motor Corporation, founded in 1937 in Japan, is a leading global vehicle manufacturer that operates in an extraordinarily complex and competitive environment offering a wide range of products and processes that others try to outcompete. With that said, it is apparent why traditional costing methods are simply inefficient in allowing Toyota to fully realize how to allocate overhead costs to individual products and production that reflects a true consumption of resources.

Traditional costing methods are simply put, simple. This method typically allocates indirect overhead costs based on a single cost driver, leading to a distorted outlook of the cost of a product in an especially modern manufacturing environment where there are multiple cost drivers present (Wild and Shaw, 2022). Traditional costing, in this case, is more effective for small businesses but not those with advanced processes in manufacturing with various factors that are large at-scale. For Toyota, this is detrimental when trying to set prices for a new-model car as the value derived from this method can lead to over or under costing, making it difficult to set competitive prices. It also puts profitability at a disadvantage across different vehicle models which later influence other decisions such as product design and innovation and operational efficiency.

Instead, companies as big as Toyota should engage in a more strategic costing method such as activity-based costing (AB-costing). AB-costing is a method that assigns those indirect/overhead costs to activities based on cost drivers that reflect the relationships between activities and the resources consumed because of those activities (Wild and Shaw, 2022). In comparison, traditional costing would have over-cost more simple products but produced at a

high volume and under-cost complex items that are low volume in terms of production. Now, with AB-costing, the true values of those costs are reflected as numerous factors are measured to determine a more accurate price.

As a result, Toyota adopted AB-costing to address the limitations of its traditional costing method as operations grew, per Toyota's establishing commitment to "lean production and continuous improvement" (Hiiragi, 2023). By implementing this, Toyota would have been able to have detailed cost tracing as the diversity of its products increased (e.g., sedans, SUVs, and electric and hybrid vehicles as of recently), allowing for the optimization of production and pricing. The company's decision to adopt the costing method also included how indirect costs were only becoming a larger proportion of total costs, in respect to a growing global supply chain network and multiple assembly lines.

Toyota would have undergone some type of challenges in implementing AB-costing with its existing production system. This new costing system was met with difficulties in collecting detailed activity-level data, resistance from departments within the organization that wanted to stick with traditional costing. However, Toyota addressed these issues by investing in training for employees to understand AB-costing concepts and tools, as well as gradually integrating the costing system digitally and in certain plants (Japan Management Diagnosis Association, 2020).

However, after the initial gripes of implementation, Toyota achieved more accurate product cost information, discovering inefficiencies, and identifying activities that were not adding value to production (Hiiragi, 2023). It allowed them, for example, to identify that hybrid vehicles required significantly more engineering and compliance testing; inefficiencies revealed by implementing AB-costing led to optimizations of routes and the redesigning factory layouts (Japan Management Diagnosis Association, 2020). All of this goes to show that, compared to

their previous use of traditional costing, AB-costing was clearly superior in identifying and analyzing distinct aspects of production that would have been otherwise overlooked.

As Toyota continues to grow and expand, especially through the market's prioritization of transitioning to an era of electric vehicles, cost structures will only become more complex. Toyota would now have to track costs such as developing software for self-driving systems and the production of the battery of cars, for example. AB-costing can track all that and more, and it can improve further as well. Toyota could automate and digitize activity usage to track it in real time. The company could even consider incorporating environmental drivers such as carbon emissions and energy use to align with sustainability goals of "Achieving Carbon Neutrality" (Toyota, n.d.). And, as operations inevitably change, AB-costing models should be reviewed and updated regularly to accurately reflect cost pools.

Toyota's implementation of AB-costing reflects its commitment to efficiency and continuous improvement. By transitioning away from traditional costing, AB-costing has enabled Toyota to better understand product costs, eliminate waste, and support strategic decisions that will help its long-term prosperity and profits as the market offers products that are yet more complex than the last. Looking forward, AB-costing will continue to serve Toyota as an invaluable tool for its mobility.

## References

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